

Instructions:

1. This problem set is NOT a group assignment. Submissions must be sent electronically via email to the instructor's email address and copy the email address of TA's listed on our syllabus, before the specified due date and time. Late submissions will not be accepted.
2. Your writing must be in English. Your way of making arguments and deriving the right intuition is as important as your final answer. Your responses should be clearly, logically, and thoroughly presented.
3. You are welcome to cite additional data or information from other papers and book chapters to strengthen your arguments with the rightly formatted reference attached. However, it is strict that you should NOT directly copy model details or texts available from the internet and other sources.

Homework 1

Please find one particular policy implemented by the Chinese government in 2024 and analyze the economic consequence of the policy. The policy could either be conducted by the central government (PBC, Ministry of Finance, ...) or by a particular local government. Policies related to the financial/credit market or monetary authorities are preferred.

Requirement:

- a. Describes the details of policy and what is the main purpose of the policy (1/2 Page Limit)
- b. Use some data or statistics to analyze the policy consequence. The analysis could be a case study based on a simple narration or based on some simple statistical analysis (e.g., OLS). (1/2 Page Limit)
- c. How would you reform this policy? Why? (1/2 Page Limit)

Deadline: Dec 10, 23:59 (Beijing time)